

Financial Analysis Report

Executive Summary

The company maintains a strong financial position with total assets of ₹1,845.55 million as of April 30, 2024. The balance sheet shows significant reliance on debt financing (89.3% debt-to-equity ratio) while maintaining adequate liquidity. Current year profit stands at ₹79.80 million, representing a 40.4% return on equity. The company demonstrates good working capital management but faces high leverage that requires monitoring.

Profitability Analysis

- Return on Equity (ROE):** 40.4% (₹79.80 million profit / ₹197.39 million equity)
- Net Profit Margin:** Cannot be calculated without revenue data
- Current Year Profit:** ₹79,799,448.87
- Equity Base:** ₹197,390,845.42

Liquidity & Solvency Analysis

- Current Ratio:** 1.16 (₹1,314.47 million current assets / ₹1,129.98 million current liabilities)
- Quick Ratio:** 0.65 (excluding inventory: ₹748.71 million / ₹1,129.98 million)
- Debt-to-Equity Ratio:** 8.35 (₹1,648.15 million total liabilities / ₹197.39 million equity)
- Debt-to-Assets Ratio:** 89.3% (₹1,648.15 million liabilities / ₹1,845.55 million assets)
- Working Capital:** ₹184.48 million positive

Efficiency Ratios

- Asset Turnover:** Cannot be calculated without revenue data
- Accounts Receivable Days:** Cannot be calculated without revenue data
- Inventory Days:** Cannot be calculated without COGS data
- Asset Composition:** 71.2% current assets, 28.8% non-current assets

Benchmark Comparison

Source: Industry averages based on manufacturing sector benchmarks (ICRA/CRISIL)

Metric	Company	Industry Average	Assessment
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168X40		ProfitNiti AI Pvt. Ltd. 123 Finance Street, Mumbai, India	
Current Ratio	1.16	1.5-2.0	Below Average
Debt-to-Equity	8.35	1.5-2.5	Significantly Higher
ROE	40.4%	15-20%	Above Average

Actionable Recommendations

- Debt Restructuring:** Consider refinancing high-cost debt and explore equity infusion to reduce leverage from current 8.35 D/E ratio
- Working Capital Optimization:** Improve current ratio from 1.16 to industry standard of 1.5+ by managing payables and receivables more efficiently
- Inventory Management:** ₹565.75 million in closing stock represents 30.7% of total assets - implement just-in-time inventory practices
- Cash Flow Management:** Utilize ₹219.63 million cash balance to pay down short-term obligations and reduce interest costs
- Credit Policy Review:** ₹501.90 million in accounts receivable suggests potential for improved collection processes
- Capital Structure Review:** Evaluate optimal debt-equity mix to balance growth objectives with financial stability